

value investing will hold no interest. Speculators generally regard stocks as blips constantly in motion on an electronic screen, like the ball in a spinning roulette wheel, capable of generating gains for those who guess right. Those minute-by-minute fluctuations may generate excitement, but ultimately they are “random walks,” unpredictable short-term meanderings. Since speculators foolishly decouple share prices from underlying business realities, they are often drawn to whatever has been going up in price, regardless of the foolishness of the valuation. They regularly mistake luck for skill, pointing to an upward price blip as proof that their gambling is paying off. Speculative approaches—which pay little or no attention to downside risk—are especially popular in rising markets. In heady times, few are sufficiently disciplined to maintain strict standards of valuation and risk aversion, especially at a time when many of those who have abandoned such standards are outpacing the pack and becoming rich.

In recent years, some have attempted to expand the definition of an investment to include any asset that has recently appreciated in price—or might soon: art, rare stamps and coins, wine collections, NFTs (nonfungible tokens), and hundreds of alternative (crypto) currencies. Because these items generate no present or future cash flows and have values that depend entirely on buyer whim, they should be regarded as speculations, not investments.

Ubiquitous 24/7/365 media coverage of the stock market has reinforced investors’ overemphasis on the short term. The cheerleading television pundits exult at rallies and record highs and commiserate over market reversals; viewers get the impression that up is the only rational market direction, and that selling or sitting on the sidelines is not just a poor choice, it’s may be even unpatriotic. These shows promote a herdlike mentality, blurring the lines between investing and speculation. Financial cable channels also create the false perception that one can reasonably formulate an opinion on